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Our ref: IM-72559

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Dear Interested Party

Request for submissions: Blackstone Group (HK) Limited's proposed acquisition of I'rom Group Co Limited

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of I'rom Group Co Limited (**I'rom**) by funds managed or advised by Blackstone Group (HK) Limited or its affiliates (**Blackstone Funds**) (the **proposed acquisition**).

Blackstone Funds indirectly own Nucleus Network Pty Ltd (**Nucleus**) and I'rom owns CMAX Clinical Research Pty Ltd (**CMAX**).

Nucleus and CMAX both supply Phase 1 clinical trial services in Australia. CMAX has one clinic in Adelaide, South Australia and Nucleus has two clinics, one in each of Melbourne, Victoria and Brisbane, Queensland. Further details are provided at **Attachment A**.

The ACCC's investigations are focused on the impact on competition. In particular, we are seeking your views on:

- how closely Nucleus and CMAX compete in the supply of Phase 1 clinical trial services in Australia
- the availability of alternative providers of Phase 1 clinical trial services, including the extent to which overseas providers act as an effective alternative for Australian customers
- the likelihood of new entry or expansion in the supply of Phase 1 clinical trial services and the barriers associated with entry and/or expansion, and
- the likely impact of the proposed acquisition on prices, quality and/or service levels in the supply of Phase 1 clinical trial services in Australia.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public, and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the proposed acquisition is in section

50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **7 August 2024** via email to mergers@accc.gov.au with the title: *Submission re: Blackstone – I'rom*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the *Competition and Consumer Act 2010*. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore please clearly indicate if any information you provide is confidential.

Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely



Morag Bond
General Manager
Merger Investigations

Attachment A

Proposed acquisition

Blackstone Funds, which indirectly own Nucleus, propose to acquire I'rom which currently owns CMAX. Nucleus and CMAX both supply Phase 1 clinical trial services.

The acquirer – Blackstone Funds

Blackstone Funds indirectly own Nucleus. Blackstone Funds also have interests in Precision Medical Group, a contract research organisation (**CRO**) with operations in North America, Europe, Asia and Australia.

Nucleus supplies Phase 1 clinical trial services to global biotechnology and pharmaceutical companies. In Australia, Nucleus currently operates clinical units in Brisbane, Queensland and Melbourne, Victoria, as well as a satellite screening and outpatient clinic in Geelong, Victoria. Nucleus has 94 beds at its Melbourne clinic and 60 beds at its Brisbane facility.

The target – I'rom

I'rom is a healthcare business specialising in the research and development of medicine and gene technology. I'rom provides services to medical institutions conducting clinical trials, including site management and CRO services.

In Australia, I'rom supplies Phase 1 clinical trials through CMAX, and to a limited extent clinical trial services for other research phases, through Fusion Clinical Research Pty Ltd (**Fusion**). Fusion administers late-stage clinical trials, which do not overlap with services provided by Nucleus.

CMAX supplies Phase 1 clinical trial services to global biotechnology and pharmaceutical companies. CMAX currently operates one clinical unit in Adelaide, South Australia, which offers 78 patient beds.

Phase 1 clinical trial services

Clinical trials are usually conducted in phases, with each phase having a different focus. Phase 1 clinical trials involve experimental medicine being administered in low doses to humans. Phase 1 clinical trials are generally conducted on healthy volunteers and are focused on testing the safety and tolerability of medicine.

Phase 1 clinical trial service providers may be engaged directly by biotechnology and pharmaceutical companies developing new medicines, or by contract research organisations (**CROs**) which manage the clinical trial process on behalf of biotechnology and pharmaceutical companies.

Attachment B

1. Provide a brief description of your business or organisation.
2. Outline the reasons for your interest in the proposed acquisition, including any commercial relationship/s with Blackstone Funds, I'rom, Nucleus and/or CMAX.

The questions below are divided into questions for customers and alternative providers of Phase 1 clinical trial services, but you are welcome to comment on any question/s in any category.

Questions for customers of Phase 1 clinical trial services

3. Please describe how you procure Phase 1 clinical trial services, for example, through formal tender or other methods.
4. Identify the key factors that you consider when choosing a Phase 1 clinical trial service provider (e.g. price, location, capacity, bed/recruitment numbers and timelines for clinical trials, quality of results, documentation or data). Describe how non price factors are assessed.
5. Identify Phase 1 clinical trials that you have sponsored in the past 3 years and the Phase 1 clinical trial service provider that conducted each of these trials.
6. Identify alternative providers of Phase 1 clinical trial services in Australia which compete with Nucleus and/or CMAX.
7. Describe any consideration given to the transferability of data and/or the results of Phase 1 trials undertaken in Australia to other countries.
8. Identify any benefits to a Phase 1 clinical trial provider having clinical sites in multiple locations, either in multiple Australian cities, or in Australia and in other jurisdictions.

Questions for alternative providers of Phase 1 clinical trial services

9. Please identify the types of clinical trial services you provide, and the location where you supply these services, including capacity at each location and any limitations experienced in recruitment numbers.
10. Explain the basis on which you compete for the provision of Phase 1 clinical trial services (for example price, location, capacity and timelines for clinical trials, quality of results, documentation or data).
11. From your perspective, what are the key requirements or factors users of Phase 1 clinical trial services consider when selecting a provider.
12. Identify and describe your competitors in the supply of Phase 1 clinical trial services in Australia and in other jurisdictions, if relevant. Please provide market shares where possible, and the basis for such shares.
13. Explain the main requirements that must be met to supply Phase 1 clinical trial services in Australia or to expand the range of clinical trial services offered. In your response, you may wish to consider:
 - a. the regulatory and other accreditations required to operate a Phase 1 clinical trial facility
 - b. the time and costs involved with entry or expansion
 - c. the scale necessary to supply at competitive prices

- d. the ease of securing customers and contracts for supply
- e. the ease of recruitment of any required specialist staff, and
- f. any other barriers.

Provide recent examples of new entry or expansion where possible.

14. Explain whether there are any limitations on how many Phase 1 clinical trial providers could profitably operate within a city (for example difficulties recruiting patients).
15. Explain the impact of the Australian Research and Development Tax Incentive on the provision of Phase 1 clinical trials in Australia.

Additional information and competition issues

16. Describe whether and to what extent competing providers of Phase 1 clinical trial services would constrain Blackstone Funds from increasing prices and/or decreasing service levels for Phase 1 clinical trial services, including the impact of factors such as:
 - a. the capacity of alternative providers of Phase 1 clinical trial services, and
 - b. the availability of specialists or other staff required to provide Phase 1 clinical trial services and meet regulatory requirements.
17. Provide any additional information or comments that you consider relevant to the ACCC's consideration of the proposed acquisition.